

Chapter Review

1-6h Exercises

EX 1-1

Types of Businesses

Obj. 1 - Describe the nature of business and the role of accounting and ethics in business.

The following is a list of well-known companies:

1. **Alcoa Inc. (AA)**
2. **Boeing (BA)**
3. **Caterpillar (CAT)**
4. **Citigroup Inc. (C)**
5. **CVS (CVS)**
6. **Dow Chemical Company (DOW)**
7. **eBay Inc. (EBAY)**
8. **FedEx (FDX)**
9. **Ford Motor Company (F)**
10. **Gap Inc. (GAP)**
11. **H&R Block (HRB)**
12. **Hilton Hospitality, Inc. (HLT)**
13. **Procter & Gamble (PG)**
14. **SunTrust (STI)**

15. **Walmart Inc. (WMT)**

- a. Indicate whether each of these companies is primarily a service, retail, or manufacturing business. If you are unfamiliar with the company, use the Internet to locate the company's home page or use the finance website of **Yahoo** (finance.yahoo.com).
- b. For which of the preceding companies is the accounting equation relevant?

EX 1-2

Professional Ethics

Obj. 1 - Describe the nature of business and the role of accounting and ethics in business.

A fertilizer manufacturing company wants to relocate to Yellowstone County. A report from a fired researcher at the company indicates the company's product is releasing toxic by-products. The company suppressed that report. A later report commissioned by the company shows there is no problem with the fertilizer.



Should the company's chief executive officer reveal the content of the unfavorable report in discussions with Yellowstone County representatives? Discuss.

EX 1-3

Business Entity Assumption

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

Ozark Sports sells hunting and fishing equipment and provides guided hunting and fishing trips. Ozark is owned and operated by Eric Griffith, a well-known sports enthusiast and hunter. Eric's wife, Linda, owns and operates Lake Boutique, a women's clothing store. Eric and Linda have established a trust fund to finance their children's college education. The trust fund is maintained by Missouri State Bank in the name of the children, Mark and Steffy.

- a. For each of the following transactions, identify which of the entities listed

should record the transaction in its records:

Entities

L	Lake Boutique
M	Missouri State Bank
O	Ozark Sports
X	None of the above

1. Linda authorized the trust fund to purchase mutual fund shares.
2. Linda purchased two dozen spring dresses from a St. Louis designer for a special spring sale.
3. Eric paid a breeder's fee for an English springer spaniel to be used as a hunting guide dog.
4. Linda deposited a \$2,000 personal check in the trust fund at Missouri State Bank.
5. Eric paid a local doctor for his annual physical, which was required by the workers' compensation insurance policy carried by Ozark Sports.
6. Eric received a cash advance from customers for a guided hunting trip.
7. Linda paid her dues to the YWCA.
8. Linda donated several dresses from inventory for a local charity auction for the benefit of a women's abuse shelter.
9. Eric paid for dinner and a movie to celebrate their twelfth wedding anniversary.
10. Eric paid for an advertisement in a hunters' magazine.

b.  What is a business transaction?

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

The total assets and total liabilities (in millions) of **The Kroger Company (KR)** and **The Procter & Gamble Company (PG)** follow:

	Kroger	Procter & Gamble
Assets	\$38,118	\$115,095
Liabilities	30,283	67,516

Determine the stockholders' equity of each company.

EX 1-5

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

The total assets and total liabilities (in millions) of **Dollar Tree Inc. (DLTR)** and **Target Corporation (TGT)** follow:

	Dollar Tree	Target
Assets	\$13,501	\$41,290
Liabilities	7,858	29,993

Determine the stockholders' equity of each company.

EX 1-6

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Determine the missing amount for each of the following:

	Assets	=	Liabilities	+	Stockholders' Equity
a.	X	=	\$1,200,000	+	\$875,000
b.	\$3,860,000	=	X	+	\$900,000
c.	\$71,850,000	=	\$59,100,000	+	X

EX 1-7

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.,
4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Captivating Inc. is a motivational consulting business. At the end of its accounting period, May 31, 20Y2, Captivating Inc. has assets of \$2,450,000 and liabilities of \$1,180,000. Using the accounting equation and considering each case independently, determine the following amounts:

- Stockholders' equity as of May 31, 20Y2.
- Stockholders' equity as of May 31, 20Y3, assuming that assets increased by \$825,000 and liabilities increased by \$515,000 during 20Y3.
- Stockholders' equity as of May 31, 20Y3, assuming that assets decreased by \$375,000 and liabilities increased by \$60,000 during 20Y3.
- Stockholders' equity as of May 31, 20Y3, assuming that assets increased by \$725,000 and liabilities decreased by \$120,000 during 20Y3.
- Net income (or net loss) during 20Y3, assuming that as of May 31, 20Y3, assets were \$3,300,000, liabilities were \$1,400,000, and no additional common stock was issued or dividends paid.

EX 1-8

Asset, Liability, and Stockholders' Equity Items

Obj. 3 - State the accounting equation and define each element of the equation.

Indicate whether each of the following is identified with (1) an asset, (2) a liability, or (3) stockholders' equity:

- a. accounts payable
- b. accounts receivable
- c. fees earned
- d. supplies
- e. supplies expense
- f. utilities expense

EX 1-9

Effect of Transactions on Accounting Equation

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

What is the effect of each of the following transactions on the three elements (assets, liabilities, and stockholders' equity) of the accounting equation?

- a. Invested cash in business in exchange for common stock.
- b. Paid for business expenses.
- c. Paid dividends.
- d. Purchased supplies on account.
- e. Received cash for services performed.

EX 1-10

Effect of Transactions on Accounting Equation

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

- a. A vacant lot acquired for \$115,000 is sold for \$298,000 in cash. What is the effect of the sale on the total amount of the seller's (1) assets, (2) liabilities, and (3) stockholders' equity?
- b. Assume that the seller owes \$80,000 on a loan for the land. After receiving the \$298,000 cash in (a), the seller pays the \$80,000 owed. What is the effect of the payment on the total amount of the seller's (1) assets, (2) liabilities, and (3) stockholders' equity?
- c.  Is it true that a transaction always affects at least two elements (Assets, Liabilities, or Stockholders' Equity) of the accounting equation? Explain.

EX 1-11

Effect of Transactions on Stockholders' Equity

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Indicate whether each of the following types of transactions will either (a) increase stockholders' equity or (b) decrease stockholders' equity:

1. Issued common stock in exchange for cash.
2. Received cash for services performed for customers.
3. Paid business expenses.
4. Paid dividends.

EX 1-12

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

The following selected transactions were completed by Cota Delivery Service during July:

1. Received cash in exchange for common stock, \$50,000.
2. Purchased supplies for cash, \$1,800.
3. Paid rent for July, \$4,500.
4. Paid advertising expense, \$1,200.
5. Received cash for providing delivery services, \$11,500.
6. Billed customers for delivery services on account, \$33,970.
7. Paid creditors on account, \$900.
8. Received cash from customers on account, \$27,500.
9. Determined that the cost of supplies on hand was \$300 and \$1,500 of supplies had been used during the month.
10. Paid cash dividends, \$1,000.

Indicate the effect of each transaction on the accounting equation by listing the numbers identifying the transactions, (1) through (10), in a column, and inserting at the right of each number the appropriate letter from the following list:

- a. Increase in an asset, decrease in another asset.
- b. Increase in an asset, increase in a liability.
- c. Increase in an asset, increase in stockholders' equity.
- d. Decrease in an asset, decrease in a liability.
- e. Decrease in an asset, decrease in stockholders' equity.

EX 1-13

Nature of Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Teri West operates her own catering service. Summary financial data for July are presented in equation form as follows. Each line designated by a number indicates the effect of a transaction on the equation. Each increase and decrease in stockholders' equity, except transaction (5), affects net income.

	Assets			=	Liabilities		+ Stockholders' Equity				
	Cash	+ Supplies	+ Land		Accounts Payable	+ Common Stock	+ Retained Earnings	- Dividends	+ Fees Earned	- Expenses	
Bal.	40,000	3,000	82,000	=	7,500	50,000	67,500				
1.	+71,800								+71,800		
2.	-15,000		+15,000								
3.	-47,500										-47,500
4.		+1,100			+1,100						
5.	-5,000							-5,000			
6.	-4,000				-4,000						
7.		-1,500									-1,500
Bal.	<u>40,300</u>	<u>2,600</u>	<u>97,000</u>	=	<u>4,600</u>	<u>50,000</u>	<u>67,500</u>	<u>-5,000</u>	<u>71,800</u>	<u>-49,000</u>	

-  Describe each transaction.
- What is the amount of the net increase in cash during the month?
- What is the amount of the net increase in stockholders' equity during the month?
- What is the amount of the net income for the month?
- How much of the net income for the month was retained in the business?

EX 1-14

Net Income and Dividends

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The income statement for the month of February indicates a net income of \$17,500. During the same period, \$25,500 in cash dividends were paid.

 Would it be correct to say that the business incurred a net loss of \$8,000 during the month? Discuss.

EX 1-15

Net Income and Stockholders' Equity for Four Businesses

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Four different corporations, Amber, Blue, Coral, and Daffodil, show the same balance sheet data at the beginning and end of a year. These data, exclusive of the amount of stockholders' equity, are summarized as follows:

	Total Assets	Total Liabilities
Beginning of the year	\$1,220,000	\$ 990,000
End of the year	1,730,000	1,150,000

On the basis of the preceding data and the following additional information for the year, determine the net income (or loss) of each company for the year. (*Hint:* First, determine the amount of increase or decrease in stockholders' equity during the year.)

- Amber: No additional common stock was issued and no dividends were paid.
- Blue: No additional common stock was issued, but dividends of \$60,000 were paid.
- Coral: Additional common stock of \$140,000 was issued, but no dividends were paid.
- Daffodil: Additional common stock of \$140,000 was issued and dividends of \$60,000 were paid.

EX 1-16

Balance Sheet Items

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

From the following list of selected items taken from the records of Bobcat Appliance Service as of a specific date, identify those that would appear on the balance sheet:

1. Accounts Payable
2. Cash
3. Common Stock
4. Fees Earned
5. Land
6. Rent Expense
7. Retained Earnings
8. Supplies
9. Supplies Expense
10. Wages Payable

EX 1-17

Income Statement Items

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Based on the data presented in [Exercise 1-16](#), identify those items that would appear on the income statement.

EX 1-18

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Financial information related to Organic Products Company for the month ended June 30, 20Y9, is as follows:

Net income for June	\$ 115,000
---------------------	------------

Dividends paid in June	25,000
Common stock, June 1, 20Y9	180,000
Common stock issued in June	50,000
Retained earnings, June 1, 20Y9	1,630,000

- a. Prepare a statement of stockholders' equity for the month ended June 30, 20Y9.
- b.  Why is the statement of stockholders' equity prepared before the June 30, 20Y9, balance sheet?

EX 1-19

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Imaging Services was organized on March 1, 20Y5. A summary of the revenue and expense transactions for March follows:

Fees earned	\$482,000
Wages expense	300,000
Rent expense	41,500
Supplies expense	3,600
Miscellaneous expense	1,900

Prepare an income statement for the month ended March 31.

EX 1-20

Missing Amounts from Balance Sheet and Income Statement Data

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

One item is omitted in each of the following summaries of balance sheet and income statement data for the following four different corporations:

	Freeman	Heyward	Jones	Ramirez
Beginning of the year:				
Assets	\$ 900,000	\$490,000	\$115,000	(d)
Liabilities	360,000	260,000	81,000	\$120,000
End of the year:				
Assets	1,260,000	675,000	100,000	270,000
Liabilities	330,000	220,000	80,000	136,000
During the year:				
Additional common stock issued	(a)	150,000	10,000	55,000
Dividends	75,000	32,000	(c)	39,000
Revenue	570,000	(b)	115,000	115,000
Expenses	240,000	128,000	122,500	128,000

Determine the missing amounts, identifying them by letter. (*Hint:* First determine the amount of increase or decrease in stockholders' equity during the year.)

EX 1-21

Balance Sheets, Net Income

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Financial information related to Ebony Interiors for February and March 20Y3 is as follows:

	February 28, 20Y3	March 31, 20Y3
Cash	\$320,000	\$380,000
Accounts receivable	800,000	960,000
Supplies	30,000	35,000
Accounts payable	310,000	400,000
Common stock	200,000	200,000
Retained earnings	?	?

- Prepare balance sheets for Ebony Interiors as of February 28 and March 31, 20Y3.
- Determine the amount of net income for March, assuming that no additional common stock was issued and no dividends were paid during the month.
- Determine the amount of net income for March, assuming that no additional common stock was issued, but dividends of \$50,000 were paid during the month.

EX 1-22

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Each of the following items is shown on the financial statements of **Exxon Mobil Corporation (XOM)**:

- Accounts payable
- Cash equivalents
- Crude oil inventory
- Equipment

5. Exploration expenses
 6. Income taxes payable
 7. Investments
 8. Long-term debt
 9. Marketable securities
 10. Notes and loans payable
 11. Notes receivable
 12. Operating expenses
 13. Prepaid taxes
 14. Sales
 15. Selling expenses
- a. Identify the financial statement (balance sheet or income statement) in which each item would appear.
 - b. Can an item appear on more than one financial statement?
 - c. Is the accounting equation relevant for Exxon Mobil Corporation? Explain.

EX 1-23

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Indicate whether each of the following activities would be reported on the statement of cash flows as (a) an operating activity, (b) an investing activity, or (c) a financing activity:

1. Cash received by issuing common stock.
2. Cash received for fees earned from customers.
3. Cash paid for land and building.

4. Cash paid for dividends.

EX 1-24

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for Parker Consulting Group for the year ended January 31, 20Y4, follows:

Cash receipts:

Cash received from customers	\$1,200,000
Cash received from issuing common stock	90,000

Cash payments:

Cash paid for operating expenses	800,000
Cash paid for land	300,000
Cash paid for dividends	36,000

The cash balance as of February 1, 20Y3, was \$66,000.

Prepare a statement of cash flows for Parker Consulting Group for the year ended January 31, 20Y4.

EX 1-25

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

We-Sell Realty was organized as a corporation on August 1, 20Y7, by the issuance of common stock of \$15,000. We-Sell Realty is owned and operated by Omar Farah, the sole stockholder. The following statements for We-Sell Realty

were prepared after its first month of operations:

**We-Sell Realty
Income Statement
August 31, 20Y7**

Sales commissions	\$ 140,000
Expenses:	
Office salaries expense	\$87,000
Rent expense	18,000
Automobile expense	7,500
Miscellaneous expense	2,200
Supplies expense	<u>1,150</u>
Total expenses	(115,850)
Net income	<u>\$ 25,000</u>

**Omar Farah
Statement of Stockholders' Equity
For the Year Ended August 31, 20Y6**

	Retained Earnings	Total
Balances, August 1, 20Y7	\$ 0	\$ 0
Net income	25,000	25,000
Dividends	<u>(10,000)</u>	<u>(10,000)</u>
Balances, August 31, 20Y7	<u>\$ 15,000</u>	<u>\$ 15,000</u>

**Balance Sheet
For the Month Ended August 31, 20Y7**

Assets	
Cash	\$ 8,900
Accounts payable	22,350
Total assets	<u>\$31,250</u>
Liabilities	
Accounts receivable	\$38,600
Supplies	4,000
Stockholders' Equity	
Retained earnings	<u>30,000</u>
Total liabilities and stockholders' equity	<u>\$72,600</u>

- a. Identify the errors contained within the presented financial statements for We-Sell Realty.
- b. Prepare a corrected set of financial statements for We-Sell Realty.